



BeeCastle Business Solutions

The art and science of Enhanced Account Management

Actionable insights to drive value for your business

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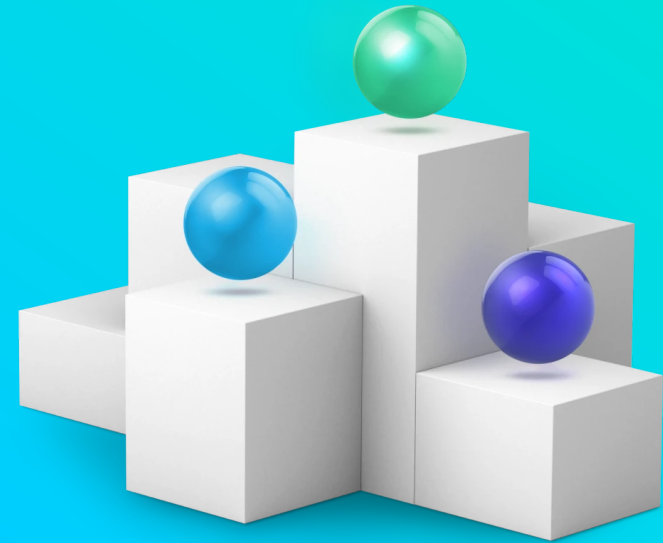
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Introduction

Data transformation is everyone's responsibility

MSP owners continue the mission toward autonomous business intelligence and data transformation, as customers increasingly face a increasing load of economic challenges together with rising compliance and cyber costs. Investing in digital business intelligence opportunities that look to reduce cost whilst also enhancing client relationships and grow revenue are an excellent proposition.

Prioritising digital strategies to optimise business systems can deliver real-time and predictive insights and meaning full revenue growth. This will prepare the organization for economic volatility, while at the same time, allow for new opportunities to increase both revenue and profitability.

A broader team is involved now

MSP owners are increasingly granting an expanded mandate to the broader leadership team. CFOs, CROs, VCIOs and other members of the leadership team are increasingly closer to business operations and act as key partners, looking to marry both increasing the availability of actionable insights to drive revenue together with searching for efficiencies within the organisation.

MSP owners, supported by the leadership team, must invest in digital transformation that will make the organization more efficient, higher performing and more responsive.

Challenges

MSP owners, together with the senior leadership team, need to navigate a large number of competing business priorities including multiple options for technology transformation. To determine the right priorities and people for their transformation owners should be:

1. Defining, socialising and setting clear objectives
2. Finding the project champions in your team
3. Looking for ways to encourage broad based adoption to ensure a business-led, employee-centric model

BeeCastle value-add methodology

Enhanced Account Management

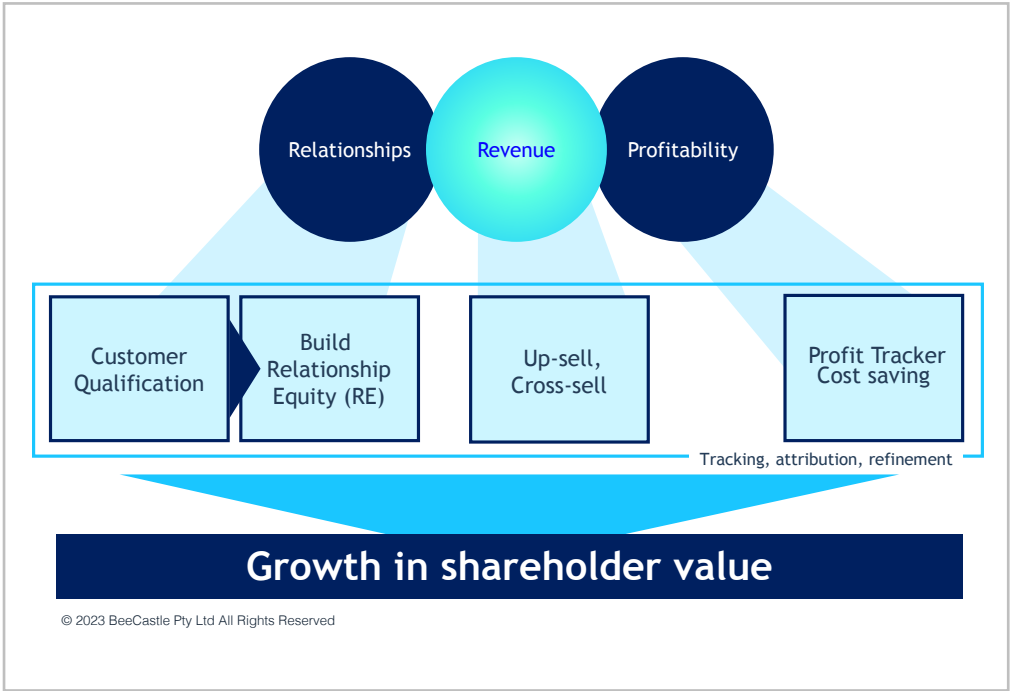
Enhanced Account Management[®] is a broad term that is built on a methodology that has evolved over 30 years. The concept is proprietary to BeeCastle and encompasses several facets that ultimately result in a sustainable increase in shareholder value.

Fundamentally, the core thesis of BeeCastle is that the true value of an MSP is the value of its clients. Essentially, if your clients are increasing their spend every year, paying an appropriate margin, and undertaking significant volumes in IT spend, then its likely you have a valuable MSP. Our methodology is built on the concepts and foundation rocks described below:

Several key concepts

MSP Value	The value of an MSP is the risk adjusted present value of its current and future clients' IT spend with the MSP
Qualification	Understanding and qualification of both your client and your contacts within the client
People	People are important, because individuals make decisions
Relationship Equity	Relationship equity is the positive attitude towards you that allows you to sell or retain
Monetization	Through up-sell and cross-sell of additional products and services to existing clients
Cost Savings	Time savings from removing data entry, report generation, finding data
Tracking	Objectively monitor progress vs targets, track responsibility & actions in real time

BeeCastle value-add methodology



Driving adoption of a Data & Analytics (D&A) strategy

Increase the level of project ownership from the leadership team

As members of the leadership team build up their capacity for D&A, MSP owners must increase their role in championing and facilitating D&A adoption and strengthen their understanding of the underlying D&A concepts. The alternative is to miss out on the opportunity that D&A offers or be left at the mercy of one department to fulfill the firm's D&A strategy. Going forward, leadership teams must get familiar with key D&A methodology to start or advance transformation initiatives across the firm and create a harmonious D&A strategy that meets the needs of a cutting edge, growth oriented, efficient and future focused organization.

Investing in D&A

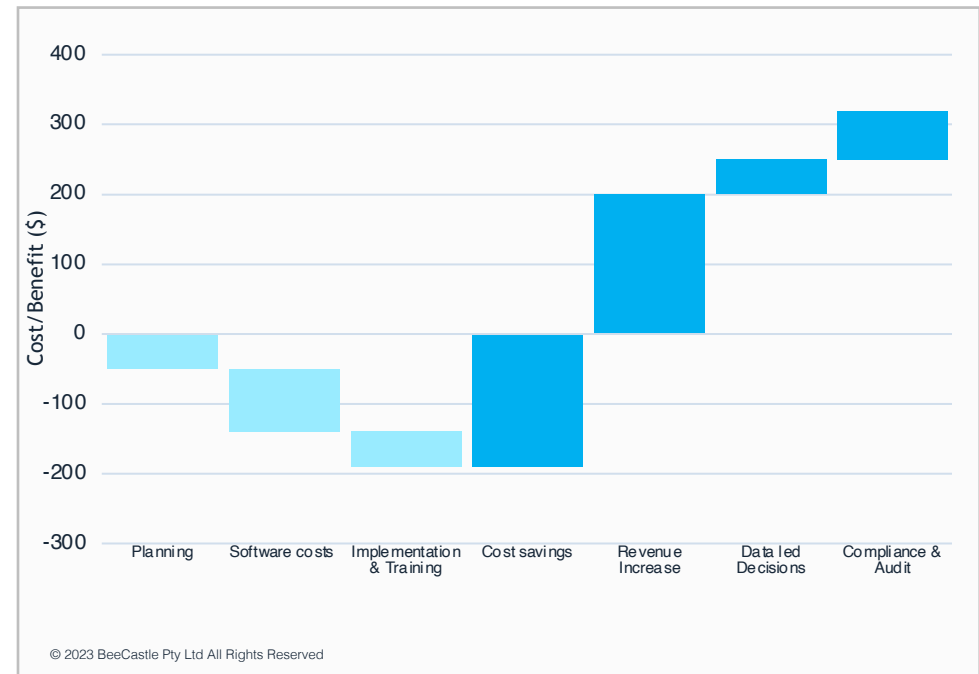
Disruption is now part of our lives and businesses need to be agile without losing the strength of their procedures. In light of this, we advocate a mixed approach of creating champions to have ownership and accountability for implementing change as well as involvement and shared responsibility from the leadership team.

We note that without a champion or several champions, digital transformational changes tends not to happen and fall behind whatever client issue of the day needs addressing.

Part of addressing the decision for a new software is the ROI calculation. Most companies only consider software costs and not the planning, implementation and training cost on the organisation.

We believe the path to an outsized ROI from new software involves choosing a package that is fit-for-purpose and has simple implementation together with the assignment of a champion and broad based support for the initiative.

The case for investment



Considerations for D&A solutions

BeeCastle Data Matrix

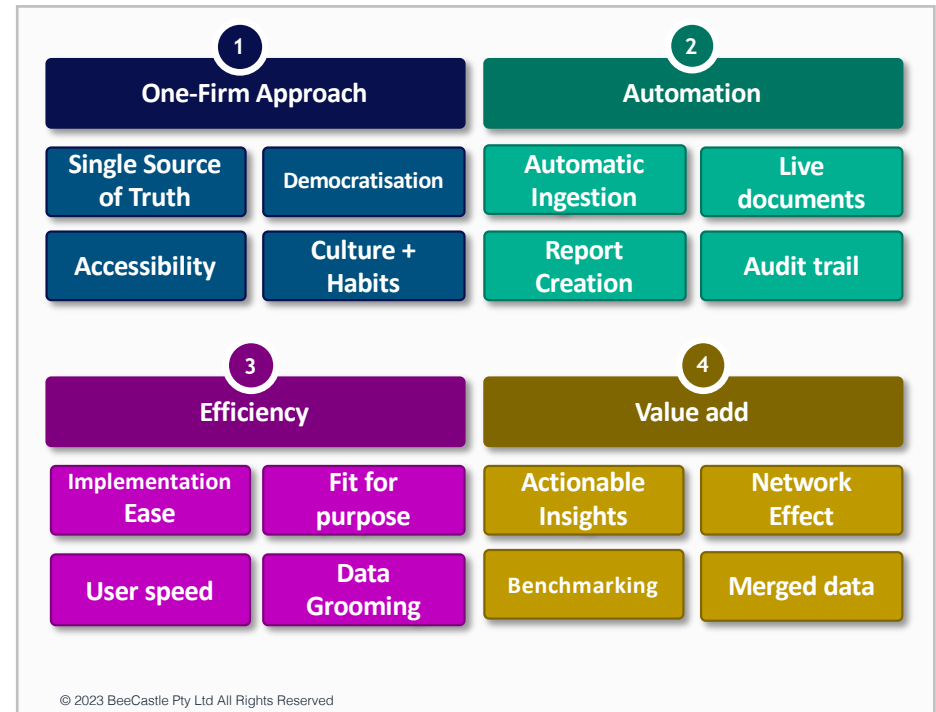
The starting point in the **BeeCastle Data Matrix** is the **One-Firm Approach** where BeeCastle's data philosophy is set. It is critical that there is a single source of truth for the organisation and that this data is available to all appropriate users on permissions basis. There are multiple examples where relevant and important data is isolated or siloed and is not shared. As we build a data-base of valuable information we need to democratise that data and bring the relevant data to users in the ecosystem they are closest to. When everyone has access to actionable insights, users often find additional valuable use cases as the situation evolves.

Data Automation

The second point in our matrix is **Data Automation**. By continuing to eliminate almost all forms of data entry we are driving several critical value add domains:

- Removing manual data entry with automation increases:
 - accuracy
 - the volume of data entry; and
 - objectivity with KPI discussion.It also saves time and costs.
- Creating a living self-updating, data-set, as opposed to a static spreadsheet that is outdated quickly, means creating an asset for the company. A resource that is always maintained and relevant.
- Manual report creation suffers from the tyranny of different methodology each time, making comparison across time periods difficult, not to mention the human time cost of creating the report on a regular basis. Redeploying that time into value adding activities is far more productive and rewarding for employees
- An audit trail is increasingly a non-negotiable part of a business. Our event sourced architecture means 100% tracking of all actions.

BeeCastle Data Matrix



Considerations for D&A solutions (cont)

Efficiency and value add from data

Efficiency or lack thereof is a key barrier to transformation. The cost of implementation, data connection, configuration and customisation is often prohibitive. A critical tenant of BeeCastle is to build simple and intuitive API connections that both increase the speed of set up and reduce costs. With one-click set up and continual monitoring of connections, the efficiency of data ingestion is optimised. Ensuring data is fit for purpose out the box means the time spent on configuration is reduced and the instant usability of the data means significantly greater probability of adoption. Increasing user-speed is a critical part of software adoption and is a challenge all big data analytics solutions face.

Value add

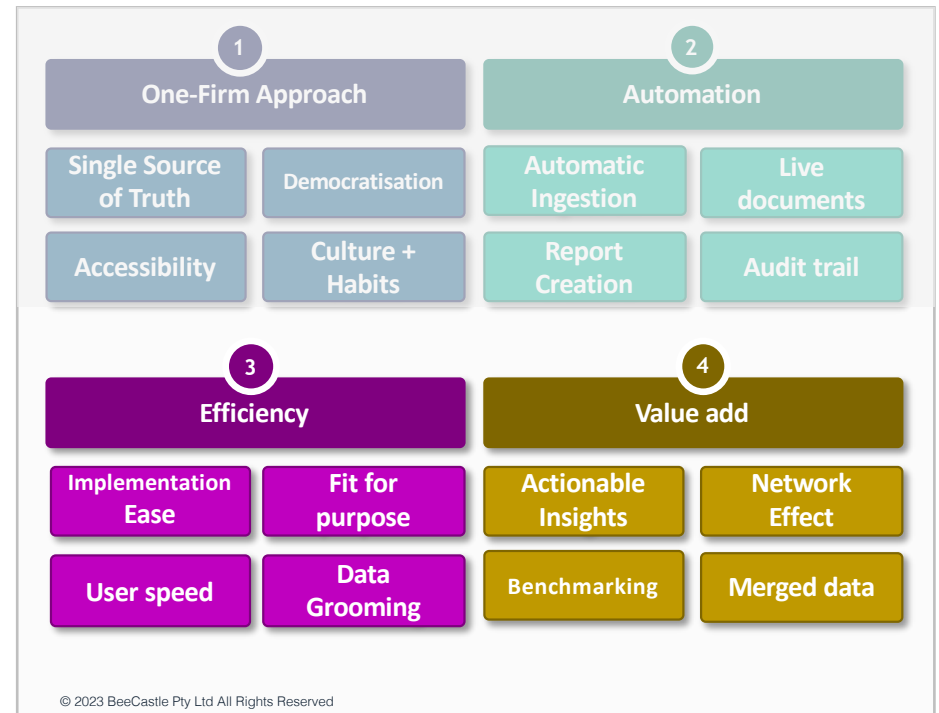
The cumulation of our matrix is the ability to add value that is tangible, measurable and reportable. The starting point is to create insights that are immediately actionable and value adding. We look at the data to consider what the actual value of taking a unique action could be to your organisation. For example, quantifying the size of an up-sell or cross-sell opportunity before any action is taken allows an account manager to prioritise.

As more and more MSPs join the hive, and our database grows, the quality, accuracy and thus value of our recommendations increase due to the network effect.

Benchmarking allows companies to level set their performance against market practice and to understand what good looks like. It also allows them to set goals and work as a team to achieve those goals.

By merging data we super-charge the insights instead of only having one source alone.

BeeCastle Data Matrix



The value of a culture of data

A lot of data is unintelligible and left in the cupboard

You can't take action with what you can't see. BeeCastle uses a company's own data pulled from various existing systems to provide a single pane of glass and whilst it brings that data to the user – there is an important role for leadership to ensure that data is utilised. Without leadership acting as a catalyst for behaviour change, the data insights can be left in the cupboard. This means:

- mandating weekly meetings around data;
- Monitoring through data;
- Using evidence based language for discussions;
- Setting KPIs regularly;
- Incentivising data usage;
- Using BeeCastle outputs in internal papers.

Account Management Activity	BeeCastle Feature	Daily	Weekly	Monthly	Quarterly	Yearly
Plan and Track Engagement	Engagement & Activity Tracking Companies & Contacts	X				
Meetings Management	Meeting Planner	X				
Opportunity Management	Whitespace Create Opportunities		X			
Weekly Sales Team Meeting	Open Opportunities	X	X			
Weekly & Monthly Sales Team Meetings	Sales Dashboard		X	X		
Prepare for Monthly Meetings & Reporting	Analyze Agreement Revenue Customer, Product trends			X		
Quarterly Business Reviews	Customer Agreement Revenue Whitespace Open Opportunities				X	
Account Performance Review & Territory Planning	Customer Tiering Customer Revenue History Customer Profitability					X

Customer qualification

@ Step #1 – Setting up records of your client category and human qualification

We consider clients in terms of both the company and its spending patterns as well as the people within that organisation that make the decisions on purchasing and implementation. Think of it in terms of two streams:

- The Client qualification is in terms of current and future spend. We observe that 80% of income tends to come from 20-30% of your clients. We determine these as Platinum and Gold. We then tier the remaining clients by percentage of spend.
- The human element in terms of assigning your contacts as a Decision Maker or Senior Influencer which are important to nurture a warm and top-of-mind relationship with.

Relationships

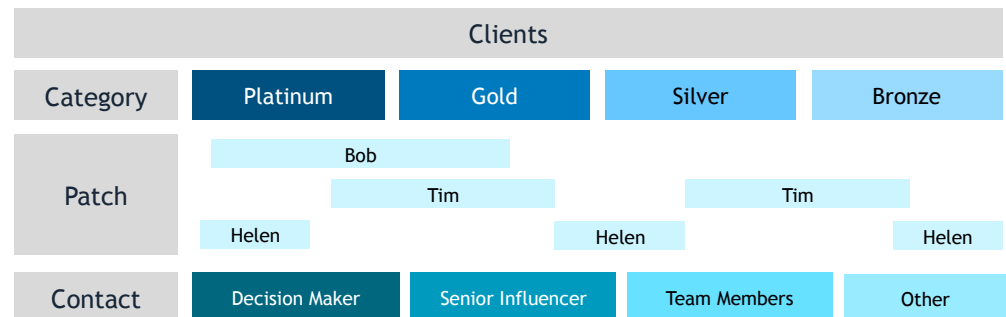
It is human nature to reward those who reward us. To bestow favour or advantage to those who have made an effort to deliver value or show care to us. This notion of reciprocity has been a core part of global trade and commerce for centuries.

We are now looking to democratise and harness the power of this notion in an organised and programmatic way.

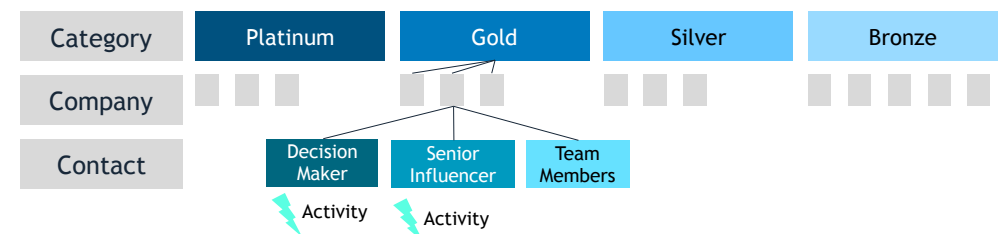
For example, good relationships are not only about driving revenue, they also assist in problem resolution, finding win-win opportunities and ensuring clients remain sticky notwithstanding any issues that arise.

We are looking to help users focus on the most important clients and the most important users within that client.

Clients Categorisation



Contact Qualification



Building relationship equity

@ Step #2 – Tracking progress to nurture relationships

With the focus now determined, the next steps is to ensure there is appropriate activity and engagement to build relationship equity. We measure objectively based on automated data ingestion the level of relationship equity. We consider all activity with your client, in terms of emails, calls, meetings, social engagements, cadence and the seniority of the contact engaged with. We keep a full track of all interactions including who from your organisation emailed, called or attended a meeting. It may seem simple to reach out to a client and build relationship equity. However the challenge arises when there are multiple clients at scale – you need a process.

Objective measurements

By automatically tracking all engagements, BeeCastle provides both a bird's-eye view of groups of accounts (a segment of your accounts) or zoom in to an individual account (see graph to right) on the exact status of that account and precisely who

It is our experience that users require both a holistic view to set strategy and resource allocation as well a detailed 'coal-face' view of the account to take relevant action on that account.

We advocate a regular reach out via teams or zoom with key decision makers and (if possible) some face to face given the significant bump in relationship equity this provides.

Further, we screen for key words such as 'coffee', 'lunch', 'drinks' or 'dinner' because we track social engagements and consider them to material enhance relationship equity .

Building Relationship Equity



Monetising relationship equity

@ Step #3 – Finding whitespace opportunities

With relationship equity in the tank, we recognise you have made an investment in your clients. Now is the time to seek a return on that investment and consider additional best fit solutions for your clients as they look to build their business. BeeCastle uses its proprietary whitespace technology to find up-sell and cross-sell opportunities for your clients.

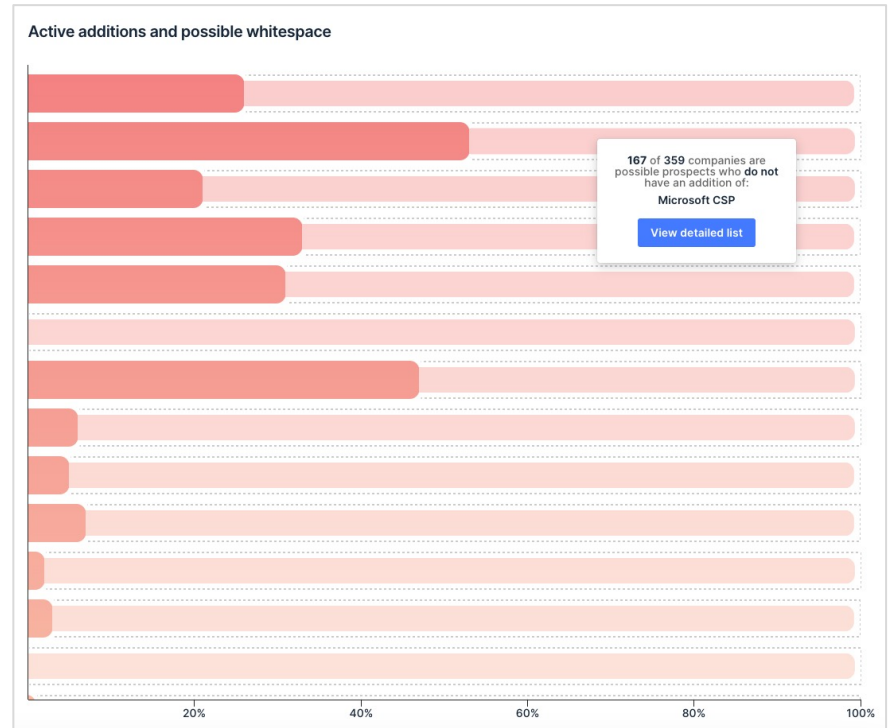
How it works?

We have been training our algorithms with the help of our clients for years.

BeeCastle uses collaborative filtering AI models to determine fair, good and excellent fit of an up-sell or cross-sell opportunity. When you find those opportunities you can create a record and then push the opportunity back into your PSA to quote and close.

BeeCastle now estimates the value of a specific opportunity in our whitespace tool and helps account managers to prioritise which opportunities are both a good fit and can move the dial to be worthy of attention.

Whitespace Prospecting



Assessing profitability

@ Step #4 – Review the profitability of an account

Not all revenue is good revenue. Some revenue has significant costs associated with it that erodes the ultimate contribution to the business. It is important to continue to monitor which of your accounts are the most profitable and what successful playbooks can be transposed across your portfolio. Reviewing your loss making accounts is arguably more urgent requiring immediate action.

How does profit tracker work?

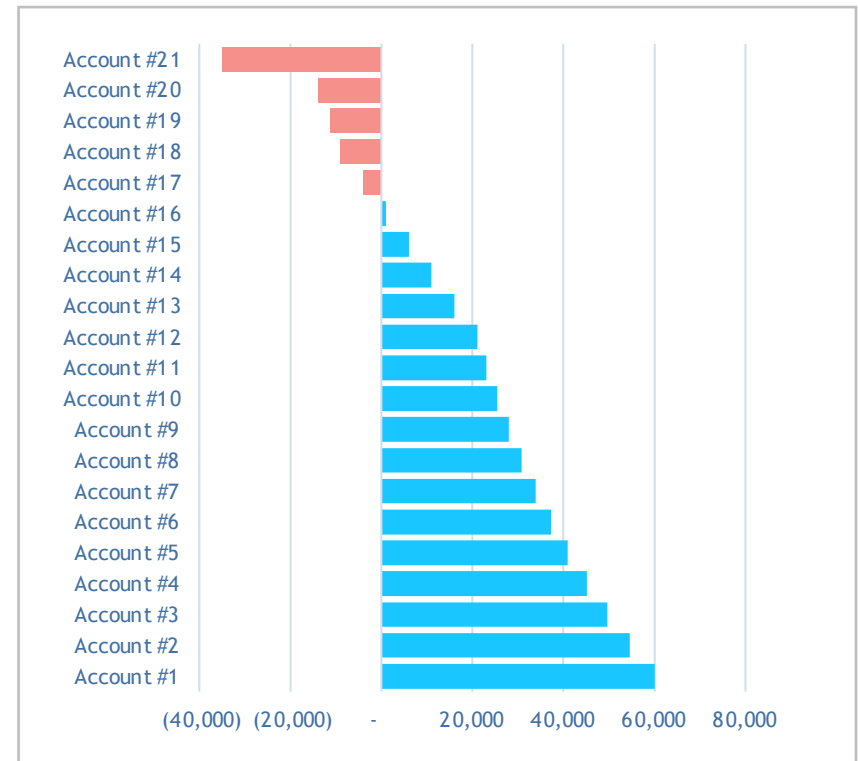
Profit tracker assesses the gross revenue of an account against the profitability of each product and the time you have logged against the account in your PSA. We then apply a cost charge to this activity time and calculate the gross profitability.

The report provides a relative perspective of your accounts from a contribution point of view.

Users can adjust the time perspective then filter by Territory, Account Manager or Tier (Platinum, Silver, Gold and Bronze) to narrow the data set for review. You can consider a single point in time or trends over multiple periods.

For loss making accounts, users are empowered to take appropriate action including considering up-sell or cross-sell opportunities to increase the revenue, increase the pricing on the managed agreement or take other action.

Account Profit assessment



Expected cost savings

We, together with clients, have mapped the potential cost savings areas have identified over 21 unique cost saving areas that BeeCastle can drive. We have looked the time saving on a week, monthly or annual basis to determine the overall

- 1 Enhanced Account Management**
 - Manually logging activities using through automating M365 ✓
 - Searching for account notes and planning next steps ✓
 - Manually reviewing activity engagement summary for sales meetings ✓
 - Running quarterly account performance checks ✓
 - Call Planning by using 'Relationship Search Engine' & Traffic Light Activity ✓
 - Identifying accounts that need further attention by using 'My Score' ✓
- 2 Whitespace Finder**
 - Generating company list for focussed sales activities ✓
 - Data cleansing a spreadsheet for potential upsell and cross-sell ✓
 - Creating reports of products amongst customers ✓
 - Not trying to sell products already adopted by a customer ✓
 - Aggregating multiple raw source data to identify products & services to sell ✓
- 3 Opportunity Assist**
 - Bulk creating similar opportunities identified in Whitespace Finder ✓
 - Not needing to search for at-risk opportunities ✓
 - Not needing to manually update opportunity activities (e.g. last meeting) ✓
 - Generating sales pipeline forecast reports ✓
- 4 Revenue Analyser**
 - Not creating a customer growth spreadsheet report ✓
 - Automatically tiering your customers by revenue ✓
 - Relocating time & engagements to higher revenue generating customers ✓
 - Ensure new product uptake and phase out of older versions of products ✓
 - Not creating product growth spreadsheet report ✓
- 5 Profit Booster**
 - Collating account profitability data for monthly reports ✓
 - Collating customer profitability data for monthly reports ✓



Setting growth targets

Planning longer term

It is worth noting the powerful impact of compound growth across several years and importantly the impact of starting today. In the example below a \$2M revenue per annum MSP is looking to grow at 20% per annum. If it can start now and achieve this, then the compound growth will grow the revenue to \$3.46M in 3 years at \$4.9M in 5 years. A material increase in the value of the MSP.

Driving up-sell cross-sell

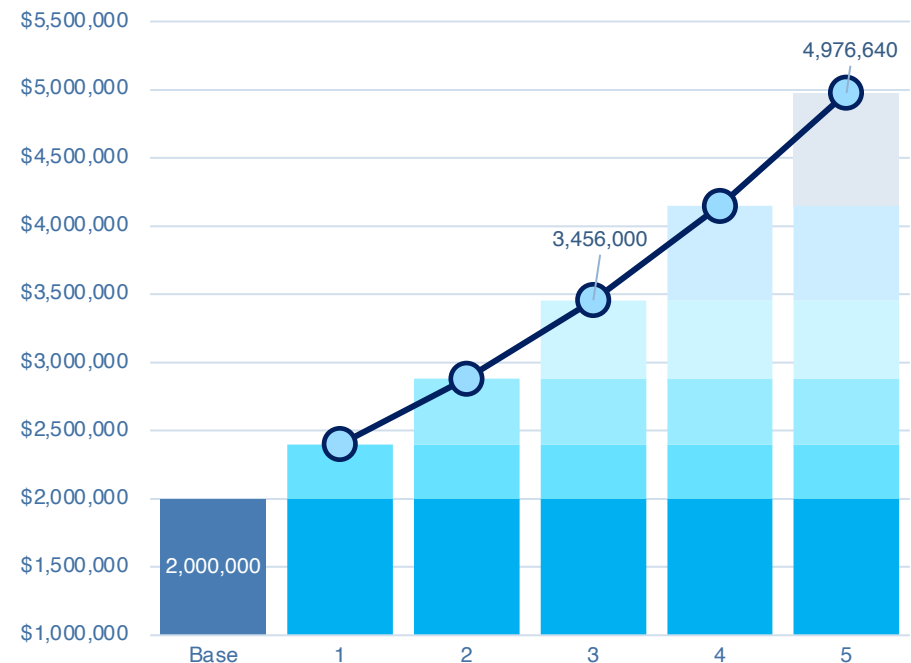
To achieve this sort of stellar growth, an MSP would most likely be undertaking a concerted approach to up-sell and cross-sell as well as acquisition of new clients.

Potential strategy:

- 1 Consider clients that are open to or receptive to up-sell cross-sell (BeeCastle account tiering and profitability)
- 2 Consider best up-sell cross-sell products
- 3 Encourage teams to use BeeCastle whitespace matrix on a weekly basis.

Enter Current AR	\$2,000,000
Enter Target AR in 5 years	\$5,000,000
or	Enter Target growth rate
	20%
Expected AR after 3 years	\$3,465,000

Example Revenue Targets



Learn more about actionable insights

Additional free resources for MSPs



How to grow your MSP as a CRO with Whitespace Analysis and Insights

6 Nov 2023

How a CRO can leverage whitespace analysis to drive revenue growth in an MSP

BEST PRACTICES

As the Chief Revenue Officer (CRO) of a Managed Service Provider (MSP) business, your primary responsibility is to increase revenue and drive business growth.



Finding Hidden Profit in your MSP - Webinar with BeeCastle and Cloud Olive

31 Aug 2023

NEWS AND EVENTS

Recently Matt Campion, Head of Product at BeeCastle presented on a Webinar with Adam Ross from Cloud Olive.



MSP best practice

Data Driven Strategy

17 May 2023

How data-driven strategies create sustainable growth for MSPs

BEST PRACTICES

In today's competitive business landscape, Managed Service Providers ("MSPs"), Cloud Service Providers ("CSPs") or Technology Service Providers ("TSPs") need to be data-driven in order to succeed.

Connect with us

Receive actionable insights to deliver on your business priorities. Our methodology, data analytics and tools enable faster, smarter decisions and stronger performance. Contact us to become a client:

Email: help@beecastle.com

Phone: [+61 2 7908 4074](tel:+61279084074)

Or sign up now:

Get Started

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